

# ECONOMICS CLASS 12

High-Yield Important Topics (PYQ Analysis 2023-2025)

## MACROECONOMICS

### 1. National Income Accounting

- **Numerical Calculations:** Mandatory practicals on GDP, NDP, or Sales using Value Added, Income, or Expenditure methods.
- **Concept-based:** Precautions in estimation methods and distinguishing Real vs. Nominal GDP (with % change calculations).

### 2. Income & Employment Determination

- **Investment Multiplier (K):** Problems involving MPC, MPS, Autonomous Consumption, and equilibrium income levels.
- **Economic Gaps:** Correction of Deficient (Deflationary) and Excess (Inflationary) demand using Repo Rate, OMO, and Margin Requirements.

### 3. Government Budget

- Distinguish between Allocation, Redistribution, and Stabilisation functions.
- Classification of Capital vs. Revenue receipts and Direct vs. Indirect taxes.

### 4. BoP & Foreign Exchange

- Staple comparison: **Autonomous** (Above the line) vs. **Accommodating** (Below the line) transactions.
- Exchange rate determination under Flexible systems and Managed Floating.

## 5. Money and Banking

- Central Bank functions: Banker's Bank, Issuer of Currency, and Controller of Credit.
- Credit creation process by commercial banks with numerical illustrations.

# INDIAN ECONOMIC DEVELOPMENT

## 1. 1947-90 Experience & 1991 Reforms

- Pre-1990: Five Year Plan goals (Self-reliance, Equity) and Colonial De-industrialisation.
- 1991 Reforms: Adverse impact analysis on Agriculture/Industry and tax reform consequences.

## 2. Current Challenges

- **Rural Development:** Micro-credit, SHGs, Agricultural diversification, and Organic farming.
- **Employment:** Informalisation/Casualisation of workforce and gender disparities in Worker-Population Ratios.
- **Human Capital:** Education/Health as growth drivers vs. Physical Capital.
- **Sustainability:** Strategies for sustainable development and functions of the environment.

## 3. Comparative Development (India/China/Pak)

- **Data Analysis:** Comparative trends in GDP growth, demographics, and sectoral contributions.
- **Specific Policies:** China's SEZs, Great Proletarian Cultural Revolution, and causes of Pakistan's slow growth.